

So, total profit is $(69.5 - 39.65) = 29.85$ points.

Using the 25% stop-loss rule, we can safeguard our position and also make profits if the price moves decisively in one direction.

Strategy #4 Iron Condor

It is an advanced options strategy deployed mostly by experts to take advantage of the margin benefits and to hedge their position.

It is an extended version of a short strangle trading strategy with two more legs to manage the risk.

We will take the same example of Nifty in a short strangle.

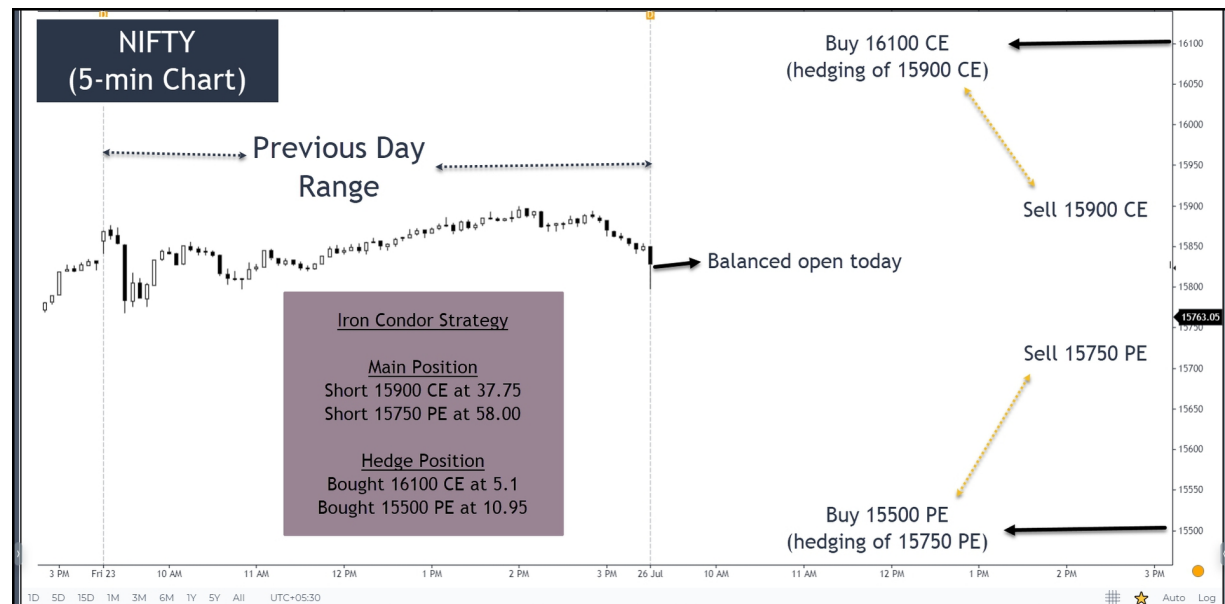


Image 9.16 – Iron Condor Strategy in Nifty

A trader will have the same sideways view in Nifty and decides to sell both 15900 CE and 15750 PE to pocket some portion of the premium due to time decay. As you know, this is a Short Strangle trading strategy.

As discussed in short strangle strategy, the maximum profit potential (only if held till expiry) is 95.75 or Rs. 4,788 (Nifty: 1 lot = 50 Qty).

The margin required to execute this strategy is around Rs.120,000 (approx.).